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Feng v. Wong, et al., Case No. 19PSCV00291

ORDER ON DEFAULT JUDGMENT APPLICATION

Cross-Complainant Lone Oak Fund's Application for Default Judgment is DENIED without prejudice. The Court would like to hear from counsel for Cross-Complainant at the time of the hearing regarding various issues concerning the substitution of the Estate of Fai Wong (see below).

Background

Plaintiffs Zengpeng Feng ("Zengpeng"), Jiaxiang Feng ("Jiaxiang"), and Yongxiang Feng ("Yongxiang") (collectively, "Plaintiffs") allege as follows:

Plaintiffs are Chinese nationals with limited knowledge of English and limited knowledge of the California real estate markets. In or around April 2012, Zengpeng and non-party Zhengjun Wang ("Zhengjun") traveled together to Las Vegas, where they won a significant sum of money gambling. While in Las Vegas, Zengpeng and Zhengjun met Fai Wong ("Wong"), who represented himself as a casino host. Wong told Zengpeng and Zhengjun that they could not legally return to China with their winnings or otherwise transfer the money to China and that they had to invest the money in the United States. Wong represented that he knew of properties in Las Vegas that could be purchased as an investment for approximately the amount of money Zengpeng and Zhengjun had won and that he could handle this transaction for them. Zengpeng provided Wong with \$460,000.00 to invest on his behalf.

Wong promised to invest the money in properties in Las Vegas, and the first of the properties was purchased on or about May 7, 2012. These properties are currently involved in litigation in Case No. A18-777837-C (the "Nevada Case"). Zengpeng, and his sons Yongxiang and Jiaxiang, agreed to acquire additional properties, including properties in Southern California, by and through Wong. Wong would recommend a particular property and then, on Wong's instructions, Plaintiffs would transfer funds into accounts controlled by Wong in China.

Wong and his associates, including his wife Liming Jiang ("Jiang"), would use funds transferred into the account to purchase the recommended property through a now-defunct entity controlled by them (e., Golden Ocean Investment, LLC [Golden Ocean"]) and then have Golden Ocean sell the property to Zengpeng or his sons at inflated prices.

In 2012, Golden Ocean purchased three properties, (1) 14730 Finisterra Place, Hacienda Heights, California (the "Finisterra Property"), (2) 8684 Via Santa Cruz, Whittier, California ("Santa Cruz Property") and (3) vacant land near Via Santa Cruz and

La Cuarta Street, Whittier, California ("Vacant Lot") on behalf of Zengpeng, which were titled in Jiaxiang's and Yongxiang's names. Wong, Jiang and their associates took care of the Finisterra and Santa Cruz Properties and the Vacant Lot.

In August 2014, Wong told Zengpeng that Jixiang should sign a power of attorney so that he could hire a professional property management company to manage the Santa Cruz Property. Jixiang signed a power of attorney which was recorded January 29, 2015 (the "2014 Santa Cruz Power of Attorney").

In 2015, Wong told Zengpeng that Yongxiang needed to sign a power of attorney so that he could lease the Finisterra Property out to a tenant. Yongxiang signed a power of attorney which was recorded on November 9, 2015 (the "2015 Finisterra Power of Attorney").

On or about January 20, 2015, Jiang, as "attorney in fact" for Jixiang, signed a grant deed conveying the Santa Cruz Property from Jixiang to Global Panda Entertainment LLC ("Global Panda"), without Plaintiffs' knowledge or consent. The grant deed was recorded January 29, 2015 (the "2015 Santa Cruz Grant Deed"). Wong, as manager of Global Panda, signed a Deed of Trust with Absolute Assignment of Leases and Rents, Security Agreement and Fixture Filing (First Priority—to be recorded in Los Angeles County) for the benefit of Lone Oak Fund, LLC ("Lone Oak") to secure a loan for \$3,660,000.00 (the "2015 Lone Oak Deed of Trust (LA)"), again without Plaintiffs' knowledge or consent. The 2015 Lone Oak Deed of Trust (LA) encumbered the Santa Cruz Property as well as the Northview Property and Las Palmas Property (the latter two properties which are the subject of other litigations) and was recorded on January 29, 2015.

On or about January 22, 2015, Wong, as manager of Global Panda, signed a Deed of Trust with Absolute Assignment of Leases and Rents, Security Agreement and Fixture Filing (First Priority—to be recorded in Orange County) for the benefit of Lone Oak to secure a loan for \$3,660,000.00 (the "2015 Lone Oak Deed of Trust (OC)"), without Plaintiffs' knowledge or consent. The 2015 Lone Oak Deed of Trust (OC) encumbered the Santa Cruz Property, Northview Property and Las Palmas Property and was recorded on January 29, 2015. These loans were paid off.

On or about December 21, 2016, Wong forged a "Power of Attorney—Special" that was recorded on January 5, 2017 (the "2016 Forged Power of Attorney"); this purported to have been signed by Baohua Wang ("Baohua"), the owner of the Northview and Las Palmas Properties, and appointed Wong as attorney in fact with respect to the Santa Cruz Property, Northview Property and Las Palmas Property. On or about December 27, 2016, Wong, as managing member of Global Panda, signed a grant deed (the "2016 Santa Cruz Grant Deed") conveying the Santa Cruz Property from Global Panda to Global Travel & Cultural Entertainment ("Global Travel"). The Santa Cruz Grant Deed was recorded on January 4, 2017.

On or about December 27, 2016, Wong, as managing member of Global Panda and "attorney in fact," signed a Deed of Trust with Absolute Assignment of Leases and Rents, Security Agreement and Fixture Filing (First Priority—to be recorded in Los Angeles County) (the "2016 Lone Oak Deed of Trust (LA)") and a Deed of Trust with Absolute Assignment of Leases and Rents, Security Agreement and Fixture Filing (First Priority—to be recorded in Orange County) (the "2016 Lone Oak Deed of Trust (OC)") for the benefit of Lone Oak to secure a loan in the amount of \$4,145,000.00; these documents were recorded on January 4, 2017, without Plaintiffs' knowledge or consent.

On or about October 31, 2017, Wong, Qun Yang ("Yang"), a member and officer of Global Travel, and their associates forged another Power of Attorney recorded November 13, 2017 (the "2017 Forged Power of Attorney"); this purported to have been signed by Baohua and appointed Yang as "attorney in fact" for the Santa Cruz Property and the Northview Property. On or about November 7, 2017, Yang, as "attorney in fact" for Baohua, signed a grant deed purporting to transfer the Northview Property from Baohua to Global Travel (the "2017 Northview Grant Deed"); this was recorded on November 15, 2017.

On or about November 7, 2017, Wong, as managing member of Global Travel, signed a Deed of Trust with Absolute Assignment of Leases and Rents, Security Agreement and Fixture Filing (Second Priority—to be recorded in Los Angeles County) for the benefit of Qualfax to secure a loan in the amount of \$300,000.00 (the "2017 Qualfax Deed of Trust") which was recorded on November 15, 2017, without Plaintiffs' knowledge or consent.

On or about January 9, 2019, Qualfax held a foreclosure sale, at which time it obtained a Trustee's Deed, which was recorded on January 11, 2019 ('2019 Trustee's Deed").

Also, on or about November 4, 2015, Wong, as "attorney in fact" for Yongxiang, signed a Deed of Trust (the "RBB Deed of Trust") and an Assignment of Rents, for the benefit of Royal Business Bank ("RBB") to secure a loan for \$1,680,000.00; these documents were recorded on November 9, 2015 against the Finisterra Property without Plaintiffs' knowledge or consent. Wong, Yang and their associates also forged an Unconditional Limited Guarantee on or about November 3, 2015 wherein Yongxiang purportedly was "guarantor" to secure the loan, again without Plaintiffs' knowledge or consent.

On or about June 12, 2018, Wong, Yang and associates forged a grant deed, which purports to convey the Vacant Lot from Jixiang to Global Travel; this was recorded on June 20, 2018, without Plaintiffs' knowledge or consent.

On August 24, 2020, a "Judgment in Favor of Defendant Royal Business Bank" and a "Judgment in Favor of Defendants Lone Oak Fund, LLC and Qualfax, Inc." were filed.

On May 4, 2021, the Court ordered the case stayed in its entirety.

On May 27, 2022, remittitur was filed (reversing August 24, 2020 judgments and granting Plaintiffs leave to file an amended complaint).

On July 11, 2022, Plaintiffs filed a verified Second Amended Complaint, asserting causes of action against Wong, Jiang, Global Travel, Global Panda, Lone Oak, RBB, Qualfax, Does I-X and Roe Entities I-X for: (1) Quiet Title, (2) Constructive Trust, (3) Equitable Lien, and (4) Preliminary and Permanent Injunction.

On August 26, 2022, Qualfax filed a First Amended Cross-Complaint ("FACC"), asserting a cause of action against Zengpeng, Jiaxiang, Yongxiang and Roes 11-50 for: (1) Equitable Subrogation/Equitable Lien.

On September 6, 2022, the Clerk entered default against Wong, Jiang, Global Travel, and Global Panda on Plaintiffs' SAC.

On September 9, 2022, Lone Oak filed a verified cross-complaint, asserting causes of action against Wong, Jiang, Global Travel, Global Panda, Qualfax, Zengpeng, Jiaxiang, Yongxiang, and Roes 1-20 for: (1) Declaratory Relief—Deed of Trust is Valid, (2) Declaratory Relief—Agency and Authority, (3) Declaratory Relief—Ratification and Consent, (4) Unjust Enrichment, (5) Equitable Lien, (6) Judicial Foreclosure, (7) Quiet Title, (8) Fraud, (9) Indemnification, and (10) Attorney's Fees—Tort of Another.

On December 16, 2022, an "Order Re: Joint Ex Parte Application by All Parties for a Court Order Approving the Substitution of Res from Real Property to Sale Proceeds from the Anticipated Sale of the Property" was filed. On December 28, 2022, RBB filed a cross-complaint, asserting causes of action against Zengpeng, Jiaxiang, Yongxiang, Wong, Jiang, Global Travel and Roes 1-20 for: (1) Declaratory Relief—Deed of Trust is Valid, (2) Declaratory Relief—Agency and Authority, (3) Declaratory Relief—Ratification and Consent, (4) Quiet Title, (5) Equitable Lien, (6) Unjust Enrichment, (7) Judicial Foreclosure, (8) Breach of Guaranty, (9) Breach of Limited Guaranty, (10) Waste, (11) Fraud, (12) Indemnification, and (13) Tort of Another Attorneys' Fees.

On October 25, 2023, the Court was advised by the parties that the matter had settled.

On February 6, 2024, a "Stipulation and Order for Dismissal and for Retention of Jurisdiction Under Code of Civil Procedure Section 664.6" was entered.

On February 13, 2024, Lone Oak dismissed its cross-complaint against Zengpeng, Jiaxiang, Yongxiang and Qualfax, with prejudice; that day, Qualfax dismissed its FACC, with prejudice and Zengpeng, Jiaxiang and Yongxiang dismissed their complaint against Lone Oak and Qualfax, with prejudice.

On March 1, 2024, Wong's, Global Travel's, Global Panda's and Jiang's defaults were entered on Lone Oak's cross-complaint.

On March 5, 2024, Wong's, Global Travel's and Jiang's defaults were entered on RBB's cross-complaint.

On March 15, 2024, a Default Prove Up Hearing and Order to Show Cause Re: Default Judgment as to Vacant Land came on calendar for hearing; on that date, the Court found that Jixiang is the owner of the subject property and that Global Travel owns no right, title or interest in the property.

On March 15, 2024, Zengpeng, Jiaxiang and Yongxiang dismissed their complaint against Wong, Jiang, Global Panda, Does I-X and Roes Entities I-X and against Global Travel as to the second through fourth causes of action only, without prejudice.

On March 28, 2024, an "Order Quieting Title" and "Judgment Quieting Title" were entered.

On November 18, 2025, Cross-Complainant Lone Oak Fund's application for Default Judgment was denied without prejudice.

On June 26, 2026, Defendant/Cross-Complainant Lone Oak Fund's motion to substitute estate of deceased decedent and Cross-Defendant Fai Wong was granted.

Discussion

Cross-Complainant Lone Oak's Application for Default Judgment is denied without prejudice. The following defects are noted:

On November 18, 2025, the Court issued an order, denying Default Judgment; in doing do, the Court directed counsel to re-submit a revised and complete default packet. Loan Oak's April 1, 2026, default packet submission is not full and complete, in and of itself. Loan Oak has not provided the Court with a filled out CIV-100 form. Further Loan Oak has not provided the Court with a revised JUD-100 form. The Court instructs Loan Oak to file fully completed CIV-100 and JUD-100 forms.

In addition, the Court may require further briefing regarding the following issues and would like to hear from Loan Oak's counsel as to these issues at the time of hearing: (1) whether the order granting substitution has been properly served on the Estate of Fai Wong, (2) whether the Estate of Fai Wong has been properly served with the cross-complaint, and (3) whether the Estate of Fai Wong is automatically in default status based upon Fai Wong's defaulted status or whether a separate request for default must be sought and obtained.

The Court also seeks information regarding the previously ordered substitution to confirm that the substitution was not improvidently granted; specifically, the Court queries whether the claim submitted in probate court was in fact rejected by the estate, as it appears that rejection would be required prior to any substitution under Probate Code Section 9370. The Court also observes that the language of Code of Civil Procedure Section 377.40 contemplates a surviving action being asserted "against the decedent's personal representative or, to the extent provided by statute, against the decedent's successor in

interest.” The Court queries whether the “estate” can be substituted in as a party, rather than a specific personal representative (the executor or administrator of the estate) or successor in interest.